
DRAFT VISUAL • SOURCE STATUS RETAINED • NOT AN EXECUTED ORIGINAL

Red Wash purchase and closing-rights schedule

SH-LEGAL-READ-RW-001 · Reviewed September 12, 2026

LOCKED CASE TERMS; SYNTHETIC INSTRUMENTS

Transfer and consideration

Pale Sun buys all RWH interests from Northstar on July 18, 2025. \$42M operating assets + \$4.5M current assets – \$16M ARO – \$2.5M other liabilities = \$28M identifiable net assets and consideration; zero selected goodwill/transaction debt.

Seller allocation

\$24.5M direct payment + \$3M environmental/title escrow + \$0.5M holdback = \$28M. Escrow and holdback are included, not additional uses. The separate stabilization program is \$11M: \$8M capital and \$3M expense.

Rights and deliveries

The equity instrument retains the mine operator and scheduled assets/permits/contracts. The bill-of-sale section covers listed assets, inventory, source records and transferable rights only as law permits; it is not proof of completed consent.

Risk and transition

The \$3M escrow has a 36-month term for specified title/environmental matters. NMI transition assistance is up to six months at cost plus 5%, without operating, safety, personnel or capital authority.

Source discrepancy

Industrial and mine documents disagree on exact pre-close re-trade/walk-away dates. The higher-level canon locks the sequence and July 18 close, not those conflicting day-level details.

Accounting and record trace

Reconcile consideration and escrow once. Keep current-cost closure estimate distinct from accounting ARO, and mine stabilization distinct from ARU catch-up capital.

SH-IND-RW-TXN-001 · SH-PS-RW-TOR-001 · RWH · PS

Missing evidence and limits

Individual title cures, permit/consent proof, bank confirmations and escrow releases are not demonstrated by a closing-delivery list. Preserve the date discrepancy for chronology exercises.

Controlling source paths

industrial/transaction/01_RW_TRANSACTION_FILE.md

red_wash/agreements/TRANSACTION_AND_COMMERCIAL_INSTRUMENTS.md

docs/canon/RED_WASH_TRANSACTION_OPERATING_RECORD_2026-09-05_R2.md